**Foreign Debt and the Balance of Trade**

Foreign debt, especially if it is very large, can be a tremendous burden on an economy. India pays around $ 5 billion a year in principal repayments and interest payments. This is no small sum. This has been the price the country has had to pay due to our imports being far in excess of exports and an adverse balance of payments. At the time the country did borrow, it had no alternative. In 1991, at the time of devaluation, India had only enough foreign exchange to finance the imports of few weeks. It is to reverse this that the government did borrow from the World Bank and devalue the currency. A permanent solution will result only when the inflow of foreign currency exceeds the outflow and it is on account of this that tourism, exports and exchange earning/saving industries are encouraged.